Company Registration Number 00060094






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# Queens Park Rangers Football & Athletic Club, Limited, (The)

## Financial Statements

## 31 May 2022

| **Contents** | **Pages** |
|---|---|
| Company information | 1 |
| Strategic report | 2 |
| Directors' report | 3 |
| Independent auditor's report to the shareholders | 4 to 6 |
| Statement of comprehensive income | 7 |
| Statement of financial position | 8 |
| Statement of changes in equity | 9 |
| Notes to the financial statements | 10 to 17 |

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|---|---|
| **The board of directors** | Mr T Fernandes<br>Mr A Bhatia<br>Mr R Gnanalingam<br>Mr R Reilly |
| **Registered office** | Loftus Road Stadium<br>South Africa Road<br>London<br>W12 7PJ |
| **Auditor** | BDO LLP<br>Chartered Accountants<br>Statutory Auditor<br>55 Baker Street<br>London<br>W1U 7EU |
| **Bankers** | The Royal Bank of Scotland PLC<br>155 Bishopsgate<br>London<br>EC2M 3YB<br><br>Metro Bank<br>One Southampton Row<br>London<br>WC1B 5HA |

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**Principal activity**
The principal activity of the Company is the provision of professional football teams.

**Business Review**
The results for the year are summarised below:

- Company turnover was £36.4m, compared to £12.6m in the previous year, this is due to an increase in the management fee charged to QPR Holdings Limited.
- Company operating profit prior to playing trading was £691k, compared to a £17m loss in the prior year, again this is due to an increase in the management fee charged.
- At the reporting date the Company had bank reserves of £305k, compared to £2.6m in the prior year.
- At the reporting date the Company's deficit position was £2.6m, compared to £2.8m in the prior year.

**Risks and uncertainties**
There are a number of potential risks and uncertainties that could have a material impact on the Company's long-term performance. These risks and uncertainties are monitored by the Board on a regular basis and the Board remains confident that the Company has sufficient financial backing to manage these issues.

**Football**
The Company's income will always be directly affected by the performance of the first team and the Club's league status. The level of attendance may be influenced by factors such as the success of the team, ticket prices, broadcast coverage and the general economic climate.

The performance of the playing squad, as well as the football management staff, is hugely important to the Club, which maintains its strategy of trying to retain the highest quality playing and management staff. The Club operates in a highly competitive market for talent and the market rates for transfers and wages is, to a varying degree, dictated by competitors and the Company recognises the significance of this in relation to the desire to maintain the strength of the first team.

The Club is regulated by the rules of the various governing bodies and any change to these rules could have an impact on the Company. The Club monitors its compliance with all applicable rules and considers the impact of any changes.

**Commercial**
The Company derives income from broadcasting rights and management charges. Broadcasting and certain other revenues are derived from contracts that are currently centrally negotiated by the Premier League and Football League; the Company does not have any influence on the outcome of the relevant contract negotiations. The management charge is in relation to managing the football team and its activities.

**Future Developments**
The short-term objective is to be competitive in the Championship and target a play-off place. The Board's primary aim is also to implement the strategic plans to ensure that the Club is self-sustainable in the near future.

**Going Concern**
The Company's business activities, together with the factors likely to affect its future development and performance are set out above. The financial position of the group, its cash flows, liquidity position and borrowings are described in these financial statements.

The Company is dependent on the continued support of its parent's significant shareholders, Total Soccer Growth Sdn Bhd and QPR Asia Sdn Bhd, in order to remain a going concern. These shareholders have confirmed under a deed of support that they will continue to provide financial support to the Company for at least a period until 31 May 2024, in order for the Company to be able to meet its liabilities as they fall due. The directors have considered the Company's financial position, forecast cashflow and the availability of financial support from its significant shareholders and consider that it is appropriate to the prepare the financial statements on a going concern basis.

**Financial risk management objectives and policies**
Financial instruments are used for financing purposes only. It is Company policy not to trade in financial instruments. The board of directors sets out the financial risk management policies that are implemented by the finance department. The Board considers that financial risks do not pose a major threat to the Company.



Ruben Gnanalingam
Director
Approved by the directors on 1 December 2022

The directors have pleasure in presenting their report and the audited financial statements of the Company for the year ended 31 May 2022.

**Results and dividends**
The profit for the year amounted to £278,000 (2021: £45,000). The directors have not recommended a dividend.

**Directors**
The directors who served the Company during the year were as follows:

| | |
|---|---|
| Mr T Fernandes | |
| Mr K Meranun | Resigned 30 May 2022 |
| Mr R Gnanalingam | |
| Mr A Bhatia | Appointed 10 February 2022 |
| Mr R Reilly | Appointed 10 February 2022 |

**Directors' responsibilities**
The directors are responsible for preparing the strategic report, the Directors report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under Company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss for that year.

In preparing those financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

**Directors' indemnities**
The Company maintains directors' and officers' liability insurance providing appropriate cover for any legal action brought against its Directors.

**Strategic Report**
The risk management policy and going concern considerations are located in the strategic report on page 2.

**Post reporting date events**
The details of these are included in note 19 to the financial statements.

**Auditor**
BDO LLP are deemed to be re-appointed under section 487(2) of the Companies Act 2006.

Insofar as the directors are aware:

- there is no relevant audit information of which the Company auditor is unaware; and

- the directors have taken all steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the auditor is aware of that information.

Signed on behalf of the directors



Ruben Gnanalingam
Director
Approved by the directors on 1 December 2022

## Opinion on the financial statements

In our opinion, the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 May 2022 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of (The) Queens Park Rangers Football & Athletic Club, Limited ("the Company") for the year ended 31 May 2022 which comprise the statement of comprehensive income, the statement of financial position, the statement of changes in equity and the notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

## Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

*Independence*

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

## Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

## Other information

The Directors are responsible for the other information. The other information comprises the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

## Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statement; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

## Responsibilities of Directors

As explained more fully in the Statement of Directors Responsibilities, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

## Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

*Extent to which the audit was capable of detecting irregularities, including fraud*

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

We also considered potential financial or other pressures, opportunity and motivations for fraud. As part of this discussion we identified the internal controls established to mitigate risks related to fraud or non-compliance with laws and regulations and how management monitor these processes. Appropriate procedures included the review and testing of manual journals and key estimates and judgements made by management. We gained an understanding of the legal and regulatory framework applicable to the Company and the industry in which it operates, drawing on our broad sector experience, and considered the risk of acts by the Company that were contrary to these laws and regulations, including fraud.

We focused on laws and regulations that could give rise to a material misstatement in the financial statements, including, but not limited to, the Companies Act 2006, the Football Association Rules and Regulations, UK tax legislation and equivalent local laws and regulations.

We made enquiries of management with regards to compliance with the above laws and regulations and corroborated any necessary evidence to relevant information, for example, minutes of the Board of Directors meetings and correspondence between the Group or Parent Company and its solicitors. Our tests included agreeing the financial statements disclosures to underlying supporting documentation and enquiries with management.

We did not identify any key audit matters relating to irregularities, including fraud. As in all of our audits, we also addressed the risk of management override of internal controls including testing journals and evaluation whether there was evidence of bias by the Directors that represented a risk of material misstatement due to fraud.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

**Use of our report**

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Gareth M Jones (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London, UK

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

**Queens Park Rangers Football & Athletic Club, Limited, (The)**

**Statement of comprehensive income**

**Year ended 31 May 2022**

| | Note | 2022<br>£'000 | 2021<br>£'000 |
|---|---|---|---|
| **Revenue** | 2 | **36,364** | 12,616 |
| Cost of sales | | **(35,673)** | (29,590) |
| Gross profit/(loss) | | **691** | (16,974) |
| **Operating profit/(loss)** | 3 | **691** | (16,974) |
| Profit on disposal of player registrations | 6 | **221** | 17,648 |
| | | **912** | 674 |
| Finance income | 7 | **186** | 190 |
| Finance costs and similar charges | 7 | **(820)** | (819) |
| **Profit on ordinary activities before taxation** | | **278** | 45 |
| Tax | 8 | **-** | - |
| **Profit for the financial year and total comprehensive income** | | **278** | 45 |

All of the activities of the Company are classed as continuing.

The Company has no recognised gains or losses other than the results for the year set out above.

**The notes on pages 10 to 17 form part of these financial statements.**

**Queens Park Rangers Football & Athletic Club, Limited, (The)**

**Statement of financial position**

**As at 31 May 2022**

| | Note | 2022 £'000 | 2021 £'000 |
|---|---|---|---|
| **Intangible fixed assets** | 9 | **6,186** | 6,897 |
| **Current assets** | | | |
| Trade and other receivables | 10 | **13,034** | 12,592 |
| Cash and cash equivalents | | **305** | 2,604 |
| | | **13,339** | 15,196 |
| **Current liabilities** | 11 | **(10,789)** | (12,972) |
| **Net current assets** | | **2,550** | 2,224 |
| **Total assets less current liabilities** | | **8,736** | 9,121 |
| **Non-current liabilities** | 12 | **(11,294)** | (11,957) |
| | | **(2,558)** | (2,836) |
| **Capital and reserves** | | | |
| Share capital | 15 | **270** | 270 |
| Share premium account | | **295** | 295 |
| Capital redemption reserve | | **30** | 30 |
| Profit and loss account | | **(3,153)** | (3,431) |
| **Net shareholder funds** | | **(2,588)** | (2,836) |

These financial statements were approved by the directors, authorised for issue, and are signed on their behalf by:



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Ruben Gnanalingam
Director
1 December 2022

Company Registration Number: 00060094

**The notes on pages 10 to 17 form part of these financial statements.**

**Queens Park Rangers Football & Athletic Club, Limited, (The)**

**Statement of changes in equity**

**Year ended 31 May 2022**

| | Share capital £'000 | Share premium £'000 | Capital redemption reserve £'000 | Profit and loss account £'000 | Total £'000 |
|---|---|---|---|---|---|
| Equity shareholders' funds as at 1 June 2020 | 270 | 295 | 30 | (3,476) | **(2,881)** |
| Profit and total comprehensive income for the year | - | - | - | 45 | **45** |
| Equity shareholders' funds as at 31 May 2021 | 270 | 295 | 30 | (3,431) | **(2,836)** |
| Profit and total comprehensive income for the year | - | - | - | 278 | **278** |
| **Equity shareholders' funds as at 31 May 2022** | **270** | **295** | **30** | **(3,153)** | **(2,558)** |

**The notes on pages 10 to 17 form part of these financial statements.**

## 1. Accounting policies

### a) Statement of compliance

Queens Park Rangers Football & Athletic Club, Limited, (The) is a private Company limited by shares and a wholly owned subsidiary of QPR Holdings Limited, incorporated in England and Wales, No: 00060094. The Registered Office is Loftus Road Stadium, South Africa Road, London, W12 7PJ.

### b) Basis of accounting

The financial statements have been prepared in accordance with Financial Reporting Standard 102 as issued by the Financial Reporting Council. The financial statements have been prepared on the historical cost basis. The principal accounting policies that have been applied consistently by the Company to all periods presented in these financial statements are set out below. The financial statements are prepared in sterling, rounded to the nearest thousand, which is the functional currency of the entity.

The preparation of financial statements in conformity with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the accounting policies selected for use by the Company. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed below. Use of available information and application of judgement are inherent in the formation of estimates. Actual outcomes in the future could differ from such estimates.

### c) Going concern

The directors, based on cash flow projections prepared by management and through confirmation of continuing support from the parent company via the groups' main shareholders and creditors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. The groups' main shareholders have confirmed under a deed of support to provide loan facilities of up to £40.9m to the group covering the financial needs over the period ending 31 May 2024.

### d) Disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirement of section 11 Financial instruments
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the accounts of QPR Holdings Limited whose consolidated financial statements are publicly available and in whose financial statements the Company is consolidated. The location from which the financial statements are available is shown in note 14.

### e) Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business. Revenue comprises the management fees charged from the parent Company and income in respect of the broadcasting rights earned. Other income relates to the Furlough Grant received from HMRC.

### f) Player costs and transactions

#### (i) *Initial capitalisation*

The costs associated with the acquisition of player registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring player registrations.

#### (ii) *Amortisation*

These costs are fully amortised on a straight-line basis in equal annual instalments over the period of the respective contracts.

#### (iii) *Contingent consideration*

Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a certain number of First Team appearances. Liabilities in respect of these additional transfers are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

1. **Accounting policies *(continued)***

(iv) ***Impairment***
The company will perform an impairment review on the intangible assets if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The company compares the carrying amount of the asset with its recoverable amount. The company does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own.

Furthermore, the Company also considers that all of the players are unable to generate cash flows even when considered together. Accordingly, the Company, and the group, considers the smallest cash-generating unit to contain all the other First Team players, the Stadium and the training facilities.

The Company calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows (being the pre-player trading cash flows generated by the Company's existing operations and any future capital expenditure on the First Team squad). The Company compares this with its assessment of the fair value less costs to sell off all of the First Team players and the higher of these two numbers is deemed to be the recoverable amount.

In certain rare instances there may be an individual player whom the Company does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or due to a serious and permanent fall out with the senior football management and Directors which, as a consequence, means the Company consider it highly unlikely he will ever play for the First Team again. In this situation, the carrying value of the player is removed from the carrying value of players assessed as part of the cash-generating unit referred to above and instead this player will be assessed for impairment in isolation by considering his carrying value with the Company's best estimate of his fair value less costs to sell. The Company estimate this using one of the following sources

- in the case of a player who has permanently fallen out with the senior football management and directors, either the agreed selling price in the event the player has been transferred subsequent to the year-end; or
- If there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the senior football management in conjunction with the Directors who will use the outcome of recent player disposals (by both the Company and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value; or
- in the case of a player who has suffered a career-threatening injury/condition, the value attributed to the player by the Company's insurers.

(v) ***Disposals***
Profits or losses on the disposal of these registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(vi) ***Remuneration***
Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation. Liabilities in respect of player loyalty fees are provided for, as part of operating expenses, when payment becomes probable as the player is contracted to the football club and the loyalty fee is payable prior to the next transfer window at the date the accounts are signed.

g) **Finance costs**
Finance costs on all borrowings except those that are directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowings.

For qualifying assets if the borrowed funds are specifically for the purpose of obtaining a qualifying asset, the Group determines the amount of borrowing costs eligible for capitalisation as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. If obtained via general borrowings, then the amount capitalised is determined by applying the applicable capitalisation rate for the period. The capitalisation rate used in the period shall be the weighted average of rates applicable to the Group's general borrowings that are outstanding during the period.

Any intangible asset disposed of on deferred terms will be initially recorded at the discounted present value of future receipts and the receivable is then increased to the settlement value over the period of deferral with this value being charged as notional finance income to profit or loss.

## 1. Accounting policies *(continued)*

**h) Financial instruments**

Financial instruments are classified and accounted for, according to the substance of the contractual arrangement, as either financial assets, financial liabilities or equity instruments. An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities.

**i) Foreign exchange**

Transactions denominated in foreign currencies are translated into Sterling and recorded at the rates of exchange ruling at the date of the transactions. Translation differences are dealt with in profit and loss.

**j) Pension costs**

The Company operates a defend contribution pension scheme for employees. The assets of the scheme are held separately from those of the Company. The annual contributions payable are charged to profit or loss.

**k) Deferred taxation**

Deferred tax is recognised in respect of all material timing differences that have originated but not reversed at the reporting date where transactions or events have occurred at that date that will result in an obligation to pay more, or a right to pay less or to receive more tax. Deferred tax is measured on an undiscounted basis at the tax rates that are expected to apply in the periods in which timing differences reverse, based on tax rates and laws enacted or substantively enacted at the reporting date. Deferred tax assets are recognised to the extent that it is regarded more likely than not that they will be recovered.

**l) Critical accounting judgements and estimates**

In the application of the Company's accounting policies, which are described herein, the directors are required to make judgements, estimates and assumptions about the carrying value of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates. The principal balances in the financial statements where changes in estimates and assumptions may have a material impact are:

**(i)** ***Recoverable amount of non-current assets***

All non-current assets, including player registrations, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to on pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect, the recoverable value of the asset.

## 2. Revenue

The revenue and profit before tax are attributable to the one principal activity of the Company and all revenue is derived in the UK.

| | **2022** | 2021 |
|---|---|---|
| | **£'000** | £'000 |
| Broadcasting rights | **7,934** | 7,862 |
| Management charge | **28,147** | 4,473 |
| Other income | **283** | 281 |
| | **36,364** | 12,616 |

Included within other income is £2,000 (2021: £281,000) of UK Government Furlough payments.

## 3. Operating profit/(loss)

This is stated after charging the following:

| | **2022** | 2021 |
|---|---|---|
| | **£'000** | £'000 |
| Amortisation of intangible assets | **3,552** | 1,432 |

Auditors' remuneration is dealt with in the financial statements of the parent Company.

## 4. Particulars of employees

The average number of staff, including directors, employed by the Company during the financial year can be analysed as follows:

| | 2022 No. | 2021 No. |
|---|---|---|
| Players, managers and coaches | **136** | 113 |
| Support staff | **14** | 18 |
| | **150** | 131 |

The aggregate payroll costs of the above were:

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Wages and salaries | **21,762** | 19,303 |
| Social security costs | **2,888** | 2,483 |
| Other pension costs | **132** | 122 |
| | **24,782** | 21,908 |

Key management compensation:

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Wages and salaries | **1,670** | 1,202 |
| Other pension costs | **2** | 2 |

## 5. Remuneration of directors

No remuneration or benefits were paid to directors during the year (2021: £Nil)

## 6. Profit on disposal of players registrations

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Profit on disposal of players' registrations | **221** | 17,648 |

## 7. Finance Income and costs

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Finance income | | |
| - Amortised cost credit - EFL loans | **186** | 187 |
| - Amortised cost credit - Football creditor greater than one year | **-** | 3 |
| | **186** | 190 |
| Finance costs and similar charges | | |
| - Amortised cost charge - FFP settlement | **(676)** | (795) |
| - Amortised cost charge - EFL loans | **(141)** | (24) |
| - Amortised cost charge - Football creditor greater than one year | **(3)** | - |
| | **(820)** | (819) |

## 8. Taxation on ordinary activities

### (a) Analysis of charge in the year

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Current tax | | |
| UK Corporation tax based on the results for the year (note 8(b)) | - | - |

### (b) Factors affecting current tax charge

The tax assessed for the period is lower than the standard rate of corporation tax in the UK, the differences are explained below:

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Profit on ordinary activities before taxation | **278** | 45 |
| Profit on ordinary activities multiplied by standard rate of tax of 19% (2021 - 19%) | **53** | 9 |
| Short term timing differences | **(32)** | 77 |
| Relieved tax losses | **(21)** | (86) |
| Total current tax (note 8(a)) | - | - |

It was substantively enacted on 24 May 2021 that the main rate of corporation tax will increase from 19% to 25% from 1 April 2023. For profits up to £50,000, the corporation tax rate will remain at 19% and for profits over £250,000, the corporation rate will be 25%. Marginal relief provisions will be introduced for profits between the lower and upper limits.

Tax losses carried forward at the reporting date were £13.9m (2021: £14.3m) relating to trading losses. A deferred tax assets has not been recognised in the accounts as there is insufficient evidence that the asset will be recoverable. The unprovided deferred tax asset is calculated at £3.5m (2021: £2.7m).

## 9. Intangible fixed assets

| | Player registrations £'000 |
|---|---|
| **Cost** | |
| At 1 June 2021 | 8,342 |
| Additions | 2,868 |
| Disposals | (55) |
| At 31 May 2022 | 11,155 |
| **Amortisation** | |
| At 1 June 2021 | 1,445 |
| Charge for the year | 3,552 |
| On disposals | (28) |
| At 31 May 2022 | 4,969 |
| **Net book value** | |
| At 31 May 2022 | **6,186** |
| At 31 May 2021 | 6,897 |

Amortisation charges are included within the statement of comprehensive income under cost of sales.

The Company has chosen not to disclose carrying amounts for individual players, the average remaining amortisation period for the current players is 22 months.

## 10. Trade and other receivables

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Player registration transfer receivables | **132** | 9,120 |
| Amounts owed by group undertakings | **12,388** | 3,006 |
| Prepayments and accrued income | **514** | 466 |
| | **13,034** | 12,592 |

Amounts owed by group undertakings are unsecured, interest free and repayable on demand.

## 11. Current liabilities

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| Player registration transfer payables | **2,158** | 1,845 |
| Taxation and social security | **945** | 1,067 |
| FFP settlement | **1,700** | 3,400 |
| EFL loans | **3,055** | 3,048 |
| Accruals and deferred income | **2,931** | 3,612 |
| | **10,789** | 12,972 |

## 12. Non-current liabilities

| | 2022 £'000 | 2021 £'000 |
|---|---|---|
| FFP Settlement | **10,200** | 10,200 |
| FFP Settlement – Discounting adjustment | **(1,638)** | (2,314) |
| EFL loans | **2,978** | 3,950 |
| EFL loans - Discounting adjustment | **(246)** | (201) |
| Player registration transfer payables | **-** | 325 |
| Player registration transfer payables – Discounting adjustment | **-** | (3) |
| | **11,294** | 11,957 |

The FFP settlement is recorded at an amortised cost basis, discounted from a £11,900,000 full value (2021: £13,600,000), £1,700,000 falls due within one year and is shown within note 11, the remainder is payable over a set number of years as agreed with the English Football League (EFL).

The EFL loans are recorded at an amortised cost basis, discounted from a £6,033,000 full value (2021: £6,998,000), £3,055,000 falls due within one year and is shown within note 11. The loans carry are unsecured, carry no interest and are due to be fully settled by April 2024.

Both the FFP settlement and EFL loans have been discounted using the Company's cost of capital, currently 10%.

## 13. Related parties

In accordance with the exemption permitted by Financial Reporting Standard 102, Section 33 "Related Party Disclosures", transactions with other group undertakings have not been disclosed in these financial statements.

## 14. Ultimate Controlling Party

The immediate parent Company is QPR Holdings Limited, a Company registered in England and Wales, and is the smallest consolidated accounts within which the Company is included. Copies of these group accounts are available from its head office Loftus Road Stadium, South Africa Road, London W12 7PJ. The ultimate parent Company is Total Soccer Growth Holdings Ltd, a Company incorporated in Malaysia, and is the largest consolidated accounts within which the Company is included. These consolidated accounts are available to the public and may be obtained from the Company registrar.

The current ownership of QPR Holdings Limited is as follows

- 51.03% Total Soccer Growth Sdn Bhd, the ultimate owner of which is Ruben Gnanalingam
- 26.81% QPR Asia Sdn. Bhd., the ultimate owners of which are Tony Fernandes, Kamarudin Meranun
- 12.00% QPR Newco LLC, the ultimate owner of which is Richard Reilly
- 10.00% Sea Dream Ltd., the ultimate owners of which are the L.N.Mittal Family
- 0.16% variety of minority shareholders

## 15. Share capital

**Allotted and called up:**

| | **2022** | | 2021 | |
|---|---|---|---|---|
| | **No** | **£'000** | No | £'000 |
| Ordinary shares of £0.50 each | **540,600** | **270** | 540,600 | 270 |

## 16. Reserves

Share premium account - This reserve records the amount above the nominal value received for shares sold, less transaction costs.

Profit and loss account - This reserve records retained earnings and accumulated gains.

Capital redemption reserve - This is a non-distributable reserve and represents paid up share capital.

## 17. Financial instruments

**Capital risk management**

The Company manages its capital to ensure that the entity will be able to continue as a going concern through the optimisation of the debt and equity balance. The Directors' consideration of the going concern is detailed in the Strategic Report.

The main purpose of financial instruments listed below is to finance the Company's operations. The Company has other financial assets and liabilities, which arise directly from its operations and its transactions with the holding Company which are not included below.

Categories of financial instruments

| | **2022** | 2021 |
|---|---|---|
| | **£'000** | £'000 |
| Financial Assets | | |
| - Cash and cash equivalent | **305** | 2,604 |
| - Player registration transfer receivables | **132** | 9,120 |
| - Amounts owed by group undertakings | **12,388** | 3,006 |
| | **12,825** | 14,730 |
| Financial Liabilities | | |
| - Player registration transfer payables | **2,158** | 2,167 |
| - FFP settlement | **10,262** | 11,286 |
| - EFL loans | **5,787** | 6,797 |
| | **18,207** | 20,250 |

The above financial assets and financial liabilities do not include prepayments and accruals respectively

## 17. Financial instruments (continued)

**Financial risk management objectives and policies**
Management monitor and manage the financials risks relating to the operations of the Company through internal controls. These risks include credit risk and liquidity risk.

**Credit risk**
Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. The maximum risk exposure relates to football debtors but this is mitigated by the governing body of the respective association.

**Liquidity risk**
Ultimate responsibility for liquidity risk management rests with the Directors. The Directors use management information tools including budgets and cash flow forecasts to be able to constantly monitor and manage current and future liquidity.

## 18. Payables - capital instruments

The maturity profile of the company's total borrowings at the reporting date which are carried at amortised cost are as follows:

| | 2022 | | | 2021 | | |
|---|---|---|---|---|---|---|
| | **Principal £'000** | **Interest £'000** | **Total £'000** | Principal £'000 | Interest £'000 | Total £'000 |
| In one year or less or on demand | **4,024** | **731** | **4,755** | 5,677 | 771 | 6,448 |
| In more than one year but not more than five years | **8,729** | **1,049** | **9,778** | 9,110 | 1,640 | 10,750 |
| In more than five years | **3,296** | **104** | **3,400** | 3,296 | 104 | 3,400 |
| | **16,049** | **1,884** | **17,933** | 18,083 | 2,515 | 20,598 |

## 19. Post reporting date events

During the 2022 summer transfer window we secured Jake Clarke-Salter, Kenneth Paal and Leon Balogun on free transfers, along with Tyler Roberts, Taylor Richards, Ethan Laird, and Timothy Iroegbunam on season long loans.

In addition, Jordy de Wijs transferred to Fortuna Düsseldorf. Charlie Austin, Yoann Barbet, Dillon Barnes, David Marshall, Moses Odubajo, Marco Ramkilde, Lee Wallace, and Keiren Westwood departed due to their contracts expiring.

Head coach Mick Beale and first team coaches Neil Banfield, Damian Matthew and Harry Watling left QPR on the 27th of November 2022 to join Glasgow Rangers. QPR B Team manager Paul Hall has taken over first-team duties in the interim period while the club look to identify a new head coach.

## 20. Commitments

As at 31 May 2022, the Company was committed to paying signing on fees in respect of players of £Nil (2021: £50,000).